Jingcheng Jiang

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Academic Appointments

2025–	**University of Tokyo**, Tokyo, Japan
Current	JSPS (日本学術振興会) Postdoctoral Fellow
	Host Researcher: Yasuyuki Sawada

Education

2025	**Hitotsubashi University**, Tokyo, Japan Ph.D. in Economics *Thesis Committee:* Kensuke Teshima (Chair), Chiaki Moriguchi, Atsushi Yamagishi, Yukichi Mano
2021	**University of Queensland**, Brisbane, Australia Master of Economics & Public Policy, *with Distinction* *Thesis Advisor*: Haishan Yuan
2019	**Massey University**, Auckland, New Zealand Bachelor of Business Management

Research Fields: Applied Microeconomics

International Trade, Development Economics, Political Economy

Honors & Awards

2026	Hayami Award (速水賞), Japanese Association for Development Economics (開発経済学会)
2023	Excellent Paper Award, The 2nd Peking University Summer School
2022	Excellent Paper Award (優秀論文賞), The 17th Applied Econometrics Conference (第17回応用計量経済学)
2020	Distinction, University of Queensland

Publications

[1] **Corruption and the Allocation of Subsidies in China: The Role of Hometown Preference**
Economic Development & Cultural Change, Forthcoming (**Sole-author**)

Working Papers

[1] **Politically Induced Internal Trade Barriers in China** ***Job Market Paper***
Revise & Resubmit at ***Journal of Public Economics*** (**Sole-author**)

Competition among subnational governments generates internal non-tariff trade barriers, fragmenting markets within nominally integrated economies. In China's decentralized system, where provincial authorities evaluate city leaders on relative economic performance, politicians face incentives to maximize locally appropriable gains while minimizing spillovers to rivals. This yardstick competition creates systematic distortions in the allocation of public resources. Exploiting exogenous variation in promotion incentives driven by the age of city party secretaries (1996–2018), I show that intensified within-province competition significantly reduces inter-city trade flows, dampens international exports, and restricts firm access to intermediate inputs. Under competitive pressure, politicians reallocate resources toward non-tradable sectors, particularly real estate, while underinvesting in connective infrastructure near jurisdictional borders. Individually rational responses to

career incentives thus generate collectively suboptimal market fragmentation, showing that internal trade costs are endogenous to political institutions and that yardstick competition carries dynamic costs.

[2] **Covid-19, Migrants, and Automation in China** (with Yalan Li)

*Revise & Resubmit at **Labour Economics***

We study whether transient policy-induced labor supply shocks can permanently redirect technological change. China's zero-COVID mobility restrictions provide a natural experiment: between 2020 and 2022, hundreds of millions of migrants were blocked from urban manufacturing centers, generating a nearly 60% collapse in migrant labor supply. Exploiting cross-county variation in pre-pandemic migrant dependence, we find that more exposed counties experienced sharp post-COVID growth in robotics patenting, with no corresponding change in total patenting activity. We also construct a Bartik IV and find consistent results: uncertainty in origin regions disrupted labor flows to destinations, and counties losing more migrants saw larger increases in automation patents. The response is concentrated in tight local labor markets where native workers could not substitute for absent migrants, consistent with binding and recurrent quantity constraints rather than wage-driven substitution. Displaced migrants bear persistent earnings and employment losses. The results show that temporary restrictions on labor mobility can have lasting effects on the direction of innovation.

[3] **Fiscal Incentives, Political Tenure, and Capital Misallocation in China**

Correcting capital misallocation requires local politicians with both the capacity and the incentive to act. Using more than one million manufacturing firm-years matched to mayoral records, I find that misallocation falls as a mayor's tenure lengthens, but only in cities that rely on their own revenues; where local budgets depend on transfers, tenure brings little improvement. I develop a spatial model with interprovincial trade and costly migration in which tenure builds a mayor's capacity to alter capital allocation, while fiscal incentives determine the distortion the mayor seeks to implement. Changing fiscal incentives raises manufacturing TFP by up to 0.46 percent; trade spreads the gains to every province, and deeper market integration raises the cost of the distortion, making fiscal reform and integration complements. Short tenure is costly only when politicians have the incentive to use accumulated control.

[4] **Near Rivals, Distant Allies: Ideological Alignment and the Geopolitics of Proximity**

Standard gravity models predict that proximity fosters trade, yet international relations theory suggests proximity breeds conflict. This paper formalizes the security externality of international trade to resolve this tension. Using data on trade flows, alliances, and disputes, I document a near-rivalry paradox: proximity lowers transport costs but sharply increases conflict probability, creating a trade-off between efficiency and security. I show that ideological alignment is the critical mechanism unlocking regional integration. Exploiting exogenous leader turnovers that generate sharp shifts in bilateral ideological distance, I find these shocks disproportionately affect trade between proximate pairs. A network formation model rationalizes these findings: proximity amplifies the security risk of trade, generating a commitment problem, while ideological affinity signals peaceful intent, unlocking high returns from low gravity costs. Calibration reveals ideological distance acts as an 8% tariff between rivals, and counterfactuals show ideological fragmentation would sever the most efficient short-distance trade links.

[5] **Trade Expansion, Crop Choice, and Human Capital Divergence in China** (with Mengying Peng)

We document a new failure mode of trade-led development. Standard theory predicts that expansions in skill-intensive sectors raise returns to skill and induce human capital investment. Using a Bartik shift-share design that interacts predetermined regional cropping patterns with international commodity price deviations, we test this prediction in rural China after agricultural trade liberalization and find it fails. Cash crop booms, though concentrated in skill-intensive production, generate no rise in the skill premium and no schooling response. The operating mechanism is propagation failure: specialized skills and bundled inputs are required for cash crop production block entry, trade rents are captured entirely by incumbents and never spill into broader labor markets. Staple crop shocks, by contrast, raise returns across a wide range of households and depress schooling through a standard opportunity cost channel. When trade rents bypass rural labor markets, agricultural liberalization widens the human capital gap — not from unusual frictions, but from a structural feature of skill-intensive sectors.

Grants & Fellowships

2025– **Grant-in-Aid for JSPS Fellows (KAKENHI)**
Japan Society for the Promotion of Science

Interviews & Media Coverage

2026 VoxDev — *The Hidden Cost of China's Bureaucratic Promotion System*

Teaching Experience

2019–2020 **Teaching Assistant**, University of Queensland
Introductory Econometrics, Public Economics

Invited Seminars & Conference Presentations

2026 SMU-Jinan Conference on Urban and Regional Economics *scheduled*, Asian and Australasian Society of Labour Economics (AASLE) *scheduled*, JSIE Annual Meeting, Japanese Association for Development Economics (JADE); Keio Applied Economics Workshop; GRIPS Economics Workshop; The 15th Spring Meeting of The Japan Society of International Economics; China Economist Society China Annual Conference; Asia Meeting of the Econometric Society, East & Southeast Asia

2025 Econometric Society World Congress; 19th North American Meeting of the Urban Economics Association; ASSA Annual Meeting (AEA); GSE-OSIPP-ISER Joint Conference in Economics (University of Osaka); Japanese Society for Quantitative Political Science Winter Meeting, Human Capital and Labor Market Research in China Conference

2024 Asian and Australasian Society of Labour Economics (AASLE); East Asian Economic Association 19th International Conference (EAEA); Econometric Society East & Southeast Asia Meeting; Association for Education Finance & Policy (AEFP); Japanese Association for Development Economics (JADE)

2023 Econometric Society European Winter Meeting (ESEWM); Asian and Australasian Society of Labour Economics (AASLE); East Asian Economic Association 18th International Conference (EAEA); Peking University Summer School in Education

2022 The 17th Applied Econometrics Conference

Referee Service

The World Economy x1, Journal of Asian Economics x1; Pacific Economic Review x2

Skills

Languages Chinese (Native), English (Fluent), Japanese (JLPT N2)
Software Stata, Python, R, MATLAB, ArcGIS/QGIS, LaTeX

References

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